



Liquid milk will be important, but our focus is on building a stronger value-added product portfolio that would give consumers more reasons to choose us"

BRAHMANI NARA
EXECUTIVE DIRECTOR,
HERITAGE FOODS



You must be dominant in a market. We have 23 factories across six states. It helps in reducing costs and reaching the consumer effectively"

R. G. CHANDRAMOGAN
CHAIRMAN, HATSUN
AGRO PRODUCT

GOING FOR IT

A good presence in value-added products enables a company to position itself differently. Akshali Shah, Executive Director, Parag Milk Foods, believes that while the foundation has always been in dairy, they view themselves as a "nutrition-led food company that creates value across the entire ecosystem." Her product portfolio, she maintains, reflects the changing way India consumes dairy. "Whether it is trusted house staples like Gowardhan ghee, premium single-origin farm-fresh milk through Pride of Cows, everyday cheese consumption through Go Cheese or high-performance sports nutrition under Avvatar, each addresses a distinct consumer need."

The vicissitudes of commodity cycles are a reality that dairy companies deal with. "Long-term profitability comes from creating differentiated brands, building

consumer trust, investing in innovation and strengthening the ecosystem that supports the business," says Shah.

Protein has emerged as the next battleground. According to a report by the IMARC Group, India's protein supplements market reached \$912.9 million in 2025 and is projected to grow to almost \$1.6 billion by 2034. Godrej Jersey's Raj recalls that conversations with home-makers around three years ago would be around vitamins, minerals and calcium. "To my surprise, over the last six months, protein is top of mind. It is clear that there's enough play in democratising protein," he says.

The big moves are being made. Last March, Mother Dairy launched a new range of "pro" products, starting with milk. "Consumers are moving in that direction. The next decade will see more launches with shifting consumer preferences. We have to ensure there is no compromise in taste," says Chary. Recently, it acquired land in Punjab and plans to roll out "a lot of whey-based products."

In many ways, a thrust on innovation could make all the difference. Heritage Foods' Nara thinks growth in dairy will not come from adding more volume but from creating new consumption patterns, better formats and products that align with changing consumer needs.

Like any industry, size does matter in value-added products, but that alone cannot guarantee success. For Amul's Mehta, a clear advantage is scale. Amul procures upwards of 35 million litres of milk each day. In FY26, Amul became the first FMCG brand to hit a revenue of ₹1 lakh crore.

The other players in this segment include Ahmedabad-based Vadilal Industries (primarily ice-creams) apart from FMCG biggies like ITC and Britannia.

Given where India is positioned in the dairy story, the massive opportunity is enough reason for companies to put their money into value-added products. Success in one of these segments could lead to a massive windfall. For instance, within yoghurt, Greek yoghurt has a small base, but it requires high-quality manufacturing and refrigeration at retail. As a result, it is completely organised and likely to sustain growth. According to iLattice, the overall yoghurt market has doubled between FY20 and FY25. Epigamia, an early entrant and a dominant player, is now facing competition from almost everyone in dairy and the likes of Akshayakalpa Organic and Sid's Farm.

Meanwhile, Mehta is convinced that growth, even on his large base, is inevitable. "There's so much more to be done. My own belief is that an Amul can be created in India every year," he says in all seriousness. That's some serious food (or perhaps milk) for thought. **BT**

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